July 20, 2026 09:28 PM GMT

Morgan Stanley Research: Key Forecasts

Next 12-Months Outlook: Our High-Conviction Calls

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The economic outlook remains constructive: In the US, inflation remains the key driver of the outlook for monetary policy. The June inflation print showed disinflation that we had expected from energy prices, tariffs, and shelter. As real economic activity continues to remain firm, we retain our outlook for the Fed to stay on hold this year and cut by 50bp next year. In the euro area, we expect softness in the 2Q26 GDP print; on the inflation side, while the transmission from energy prices into core is not yet visible in the data, we do see risks that core moves up in 3Q26. And so we expect that the ECB will remain on hold this week, but hike at the September meeting. More broadly, global growth outlook remains in line with our mid-year outlook, with the capex cycle in the US and Asia supporting growth via domestic demand and exports.

Climbing the Wall of Worry: We think the AI-capex narrative remains intact, but stretched valuations, a deluge of debt issuance raising capex-discipline questions, and heavy consensus positioning have added to market jitters. We think these are risks to volatility, not returns – the broadening rally can continue. While concerns around energy prices, the Fed, and geopolitical risks remain, macro and micro fundamentals remain healthy, a good backdrop for risk assets. We recommend an **OW in global stocks with a preference for US over RoW and EW commodities. Within govies, we reduce USTs to EW and add EGBs, leaving overall govies OW. We maintain a large UW in US IG, but add EUR IG on stronger technicals and duration support.**

Equities: DM to Outperform, Lean into US

Global equities continue to digest geopolitical and market-based volatility while longer-term earnings and macro data remain supportive of broader participation in the coming months. We remain constructive on US markets due to the combination of positive operating leverage, supportive and pro-cyclical policy, and the potential for AI-driven efficiency gains. While the value characteristics of Japanese equities may help support performance, we expect broader derisking in Japan until we confirm another round of guidance upgrades from US hyperscalers and major memory companies. Beneficiaries of the Takaichi administration's reforms are likely to be more resilient. In EM, we view the current environment as uncertain due to the combined effect of AI capex and disruption, energy price volatility, and a more uncertain path for the Fed. In Europe, earnings revisions breadth ex energy margins are trending sharply higher. Our bottom-up analysts are more constructive into earnings than they have been in years. Our top-down feedback suggests European earnings are misunderstood and underappreciated, benefiting from inflation, AI, and global diversification.

Index (Local Ccy)	7/17/2026	MS Jun 2027 Price Target	Current P/E	MS Jun 2027 P/E Target	MS Top Down EPS YoY% 2026e	MS Top Down EPS YoY% 2027e
S&P 500	7,458	8,300	19.9x	20.5x	339	380
					+23%	+12%
MSCI Europe	2,547	2,810	14.9x	16.5x	156	165
					+13%	+6%
Topix	3,919	4,300	15.8x	17.5x	216	235
					+9%	+9%
MSCI EM	1,621	1,800	10.4x	13.0x	125	136
					+40%	+9%

Source: Markit Box, MSCI, RIMES, Datastream, IBES, Bloomberg, Morgan Stanley Research forecasts; Note: See S&P source report; MSCI Europe source report; Topix source report; MSCI EM source report. S&P 500 data as of Jul 17, 2026.

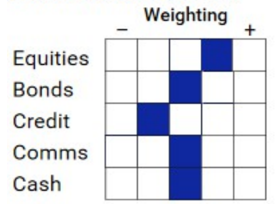
Next 12-Months Snapshot

In the US, we expect that the deceleration in inflation in the next several prints will support purchasing power and real consumption growth. Along with the continued firmness in real investment spending growth, we are also tracking faster real spending growth in 2Q26, and so real growth remains supported in the US. At a global level, the growth impulse is increasingly capex and manufacturing-led, with Asia at the center. 2Q growth momentum in the region is holding up better than expected, supported by AI demand and a broader capex cycle tied to energy security, defense spending, and supply-chain reconfiguration. Chinese growth remains K-shaped , with industrial and export momentum improving while domestic demand remains uneven. Euro-area PMIs stabilized in June, with manufacturing outperforming services, suggesting growth momentum is firming from a weak base while inflation risks remain contained.

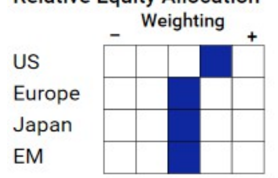
	GDP 4Q/4Q 2025	GDP 4Q/4Q 2026e	GDP 4Q/4Q 2027e	Inflation 4Q/4Q 2025	Inflation 4Q/4Q 2026e	Inflation 4Q/4Q 2027e
Global	3.4	3.2	3.3	1.9	2.8	1.9
US	2.0	2.3	2.6	2.7	3.1	2.1
Euro Area	1.2	0.3	1.2	2.1	2.6	1.7
Japan	0.3	0.5	1.3	2.7	2.8	0.0
EM	4.9	4.5	4.4	1.4	2.7	2.0

Source: Global Economic Briefing: Key Forecast Profile (17 Jul 2026)

Global Asset Allocation



Relative Equity Allocation



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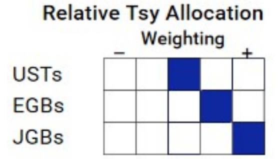
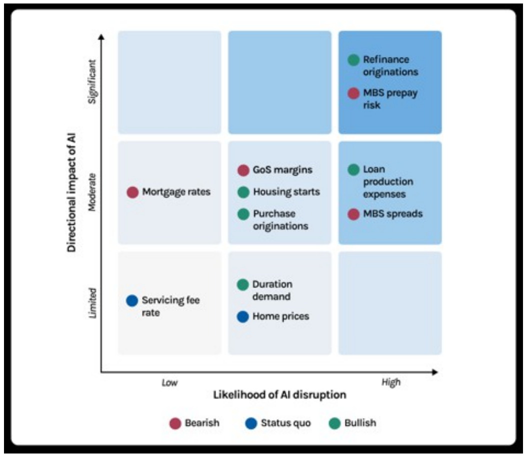


One Chart You Can't Miss: AI and the US Mortgage Ecosystem: Opportunities and Risks in Our Base Case Scenario



Source: Morgan Stanley Research

Upcoming Economic Indicators

Date	Economy	Event	MS Forecast	Consensus
22-Jul	UK	UK CPI/ Core CPI/ RPI (Jun)	2.7%Y/ 2.5%Y/ 2.8%Y	2.7%Y/ 2.5%Y/ 3.0%Y
23-Jul	JP	Japan Nationwide CPI/ CPI Ex Fresh Food and Energy (Jun)	1.7%Y/ 1.8%Y	1.7%Y/ 1.8%Y
23-Jul	EMU	ECB Rates Decision	2.25% (No change)	2.25% (No change)
23-Jul	SA	South Africa SARB Monetary Policy Meeting	7.25% (+25 bp)	7.25% (+25 bp)
23-Jul	KO	South Korea GDP Growth (2Q26)	0.3%Q, 3.4%Y	0.5%Q, 3.6%Y
24-Jul	EMU	Euro Area PMIs Manufacturing/ Services/ Composite (Jul)	51.2/ 50.3/ 50.6	51.5/ 49.8/ 50.2
24-Jul	UK	UK PMIs Manufacturing/ Services/ Composite (Jul)	52.0/ 49.3/ 49.7	52.0/ 49.3/ 49.7

Source: Bloomberg, Morgan Stanley Research forecasts

For details on upcoming economic indicators: US Europe Asia-Pacific LatAm CEEMEA

Oil Tails, Steeper Than Forwards; A Bit More Slack for the Greenback

In the US, we expect Treasuries to outperform forwards as oil tails fade and the Fed path reprices lower. Our probability-weighted baseline puts 10y yields at 4.25% by year-end. In the euro area, the ECB hikes two times and cut back to current levels. We forecast 10y Bund at 2.70% by the end of 2026, well below the forwards. We forecast 10-year gilts to end 2026 at 3.90% and JGBs to finish at 2.40%. We expect modest USD weakness to continue in the coming months, with the DXY bottoming at 95 in 3Q26. However, this move is likely limited in size and duration, marking the final phase of the cyclical USD selloff that began in early 2025, with the DXY retracing its losses to end 2027 around 100.

FX	7/17/2026	2Q27 Forecast
EUR / USD	1.14	1.16
USD / JPY	162	156
GBP/ USD	1.35	1.34

Rates (%)	7/17/2026	2Q27 Forecast
US 10yr	4.55	4.20
German 10yr	3.13	2.45
UK 10yr	4.95	4.40
Japan 10yr	2.70	2.25

Source: Bloomberg, Morgan Stanley Research forecasts

Commodities

Oil: Full Circle – Focus Shifts Back to 2027 Surplus: While oil prices have climbed in the past week, the "twin solvers" of high US exports and low Chinese imports remain in place. To balance the market in 2027, flows through Hormuz only need to recover to 11-12 mb/d, or ~65% of the pre-conflict level, we estimate. Looking into 2027, our modelling assumption is that this will be exceeded, and that observable stocks will build by 3 mb/d, likely weighing on prices. Refined product prices continue to outperform crude, see: Cheap Crude, Dear Diesel - Why Crack Spreads Are So High.

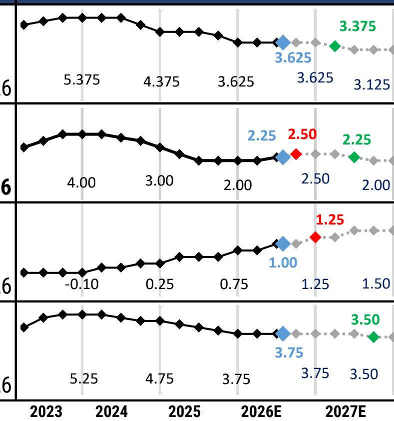
Gas: Summer Heats Up, While Gas Market Cools Down: European gas markets remain finely balanced. as Europe still enters the second half of the refill season with low storage. Weak LNG imports have been the main driver of this slower refill, with imports into our European perimeter tracking down 22% YoY by late June. The main upside risk is less Q3 scarcity pricing and more Europe entering winter with unusually low inventories, even with Qatari normalisation by end of summer.

Metals: The Price Deck – 3Q26: Idiosyncratic drivers across the complex look set to continue through 2H with metals performance expected to be driven more by commodity specific factors than broad macro trends, although US Fed policy remains a key two-way risk. Copper is our top pick with tightening supply, strong Chinese buying, and event risk around US tariffs. If tariffs are announced or the decision is delayed, COMEX should outperform LME, but we caveat that tariffs being ruled out would be bearish for both. We like uranium with tighter supply, upside to spot buying, and an expected pickup in contracting. We see gold moving higher, but more slowly, with our economists' view that the Fed can avoid rate hikes. We see aluminium tipping into a significant surplus in 2027, with faster Middle East restarts and Chinese investment driving supply growth elsewhere. However, with LME copper/aluminium near all-time highs, downside may be limited unless copper falls too. We remain cautious on iron ore given weaker steel output, strong supply, and falling cost curves. See: metal&ROCK: The Price Deck – 3Q26: Micro Narratives, But Macro Matters (8 Jul 2026), Metals & Mining: Synchronicity to Idiosyncrasy (8 Jul 2026)

G4 Central Bank Monitor

In the **US**, we maintain our out-of-consensus call for the Fed to remain on hold this year and to lower policy rates by 50bps next year. The June inflation data provided clear evidence of disinflation, and real economic activity remains firm. In our view, Fed communications are in line with the view that disinflation should mean the Fed remaining on pause. We expect the **ECB** to remain on hold this week as growth data are expected to be soft and inflation has not shown the transmission of the energy shock to core measures. However, we continue to expect a September hike as our base case. The **BoJ** raised rates in June in line with our long-standing call that pre-dated the oil shock. Recent data affirm progress in the broad reflation of the Japanese economy, and so we expect additional hikes in December 2026 and June 2027.

Economy	Current Policy Rate (Last Change)	Next Meeting Date	End of Quarter Policy Rate Forecast (23Q1 to 27Q4)
US	3.625% (No Change)	29-Jul-2026	
Euro Area	2.25% (+25 bps)	23-Jul-2026	
Japan	1.00% (+25 bps)	31-Jul-2026	
UK	3.75% (No Change)	30-Jul-2026	



Blue marker indicates current rate. **Green** and **Red** markers indicate quarters with next projected cut and hike respectively.

Source: Global Economic Briefing: Key Forecast Profile (17 Jul 2026)

Credit: Writing Bigger Checks

Credit sits at the crossroads of strong earnings and good demand, supported by high rates vs. strong supply. We think the magnitude of supply is high enough to take IG wider by year-end, but HY is sideways and outperforms on excess and total returns. We expect EU IG to outperform US IG, but see better risk-reward for US HY vs EU HY.

		2Q27		
	Current	Bull	Base	Bear
US Investment Grade	77	70	90	125
US High Yield	268	230	275	425
US Leveraged Loans	426	390	440	575
EUR IG	78	60	80	150
EUR HY	261	225	300	500
Asia IG	59	50	65	130

Source: Bloomberg, PitchBook | LCD, Morgan Stanley Research forecasts; Note: Data as of July 17, 2026

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(as of June 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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